RESIDENTIAL SERVICES FORECAST REPORT

Lifestyle-driven demand amid regulatory and supply constraints

Annually | Bali | January 2026

Insights & recommendations

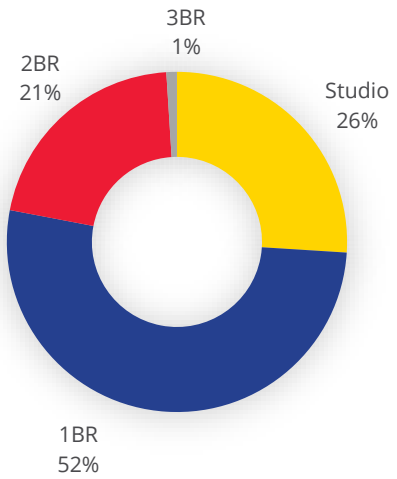
The apartment landscape in Bali exhibits a diverse development profile, with projects largely concentrated in vibrant and densely populated areas. Canggu and Uluwatu stand out as the primary development clusters, supported by dynamic lifestyles appeal, robust tourism activity, and ongoing commercial growth.

Beyond serving basic residential functions, apartment development in Bali increasingly emphasize lifestyle-driven concepts to attract demand. Wellness-oriented themes are prominent, often complemented by family vacation concepts that promote shared activities. Consequently, in addition to unit quality, developers are also focusing on the integration of on-site and surrounding lifestyle amenities.

As demand continues to grow, site selection has become increasingly critical. Mostly developers opted to redevelop existing buildings to secure strategic locations while managing development timeline more efficiently. This approach allows developers to maintain prime locations while accelerating completion times compared to commencing new projects.

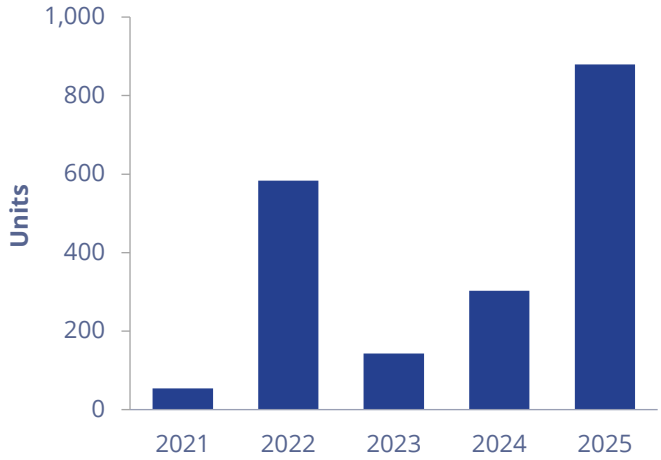
Size differentiation reflecting usage profiles and target market segmentation

Unit configuration



Source: Colliers

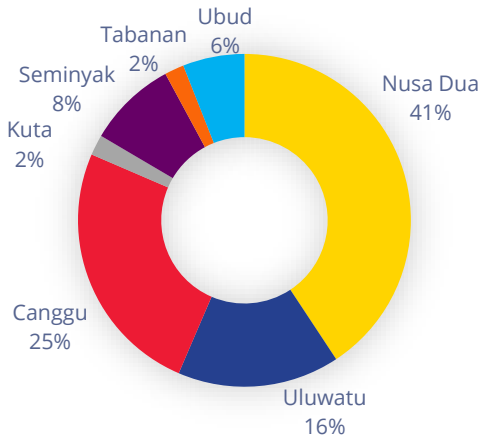
Annual supply



Source: Colliers

Based on unit size, 1-BR and studio units are the most common configurations. As of 2025, the total apartment supply in Bali was recorded to be around 3,000 units, with approximately 52% being contributed by 1-BR, while 3 BR units account for the smallest share. This unit mix reflects Bali's tourism-driven market, which is largely supported by tourists and digital nomads who typically stay for short- to medium-term and travel alone or in pairs. Therefore, smaller units are more practical, as residents tend to spend most of their time outside the unit. From a developer's perspective, these unit types are easier to absorb, offer a more affordable entry price, and allow developers to maximize saleable units, supporting healthy absorption rates and stable cash flow in a tourism-oriented market.

Supply based on area

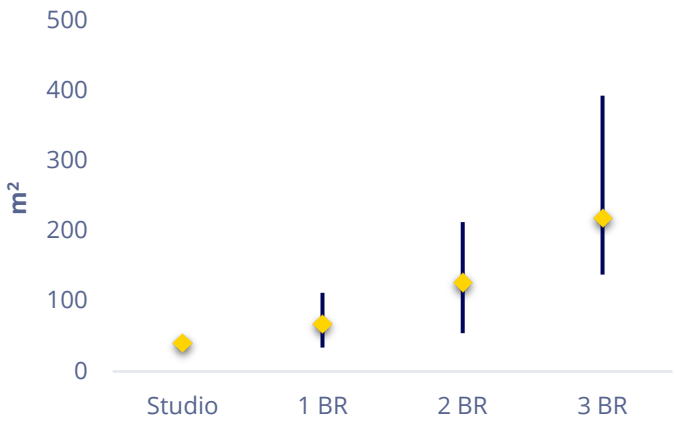


Source: Colliers

Apartment unit sizes in Bali vary widely across different types, reflecting different target markets and usage profiles.

- Studio units represent a compact format aimed at short-term or first-time buyers.
- One-bedroom units demonstrate flexibility in layout design, appealing to a broader range of users.
- Larger configurations demonstrate a stronger focus on family living and the premium market segment seeking more spacious accommodations.

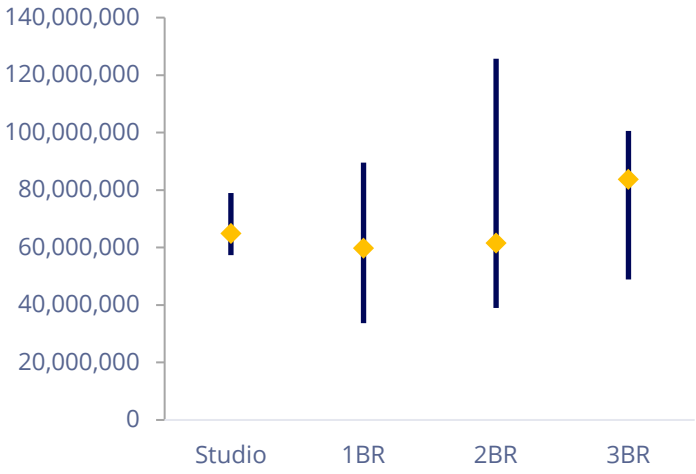
Unit size range by unit type



Source: Colliers

Development Patterns, Concepts, and Dynamic Pricing

Price range (IDR/m²) by unit type



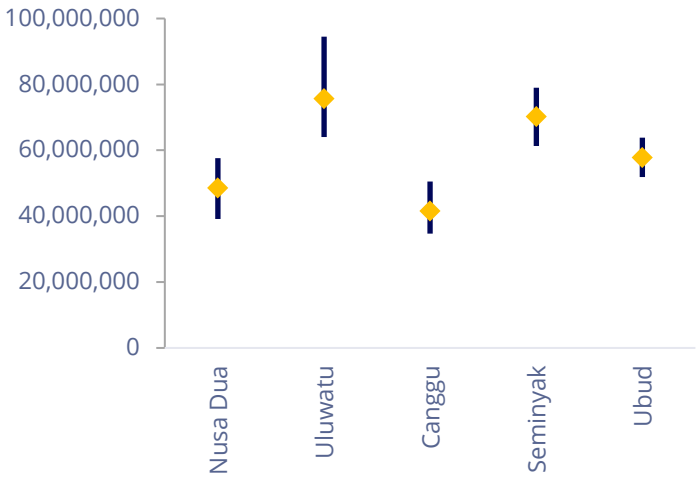
Source: Colliers

In terms of pricing, the average market price for apartments in Bali ranges from IDR 33 million to IDR 125 million, largely influenced by unit type, amenities, and location. Typical payment structures include full payment, or installment up to 24 months, with down payments typically ranging from 10% up to the most common market practice, 30%.

In general, studio units are the most affordable and exhibit limited price variation. Meanwhile, one- to three-bedroom units show the widest price dispersion due to the variety of product quality and features, which naturally offer a wider yet competitive price range.

On a per-square-meter basis, apartment prices in Bali range from 20 million up to IDR 80 million/m². Most of the higher-priced apartment projects are predominantly located in Uluwatu, Seminyak, and Ubud. Uluwatu has experienced an increase in new supply featuring more distinctive, lifestyle-oriented concepts, gradually repositioning the area beyond a purely beach-centric destination. Seminyak continues to maintain premium prices due to its mature ecosystem, strong accessibility, and proximity to major attractions. Ubud, meanwhile, benefits from its strong branding as a cultural and wellness destination, aligning with these trends. On the other hand, Canggu has relatively lower prices. Despite popularity, the apartment market in Canggu is characterized by a larger supply volume and more standardized products, which puts downward pressure on prices.

Price range (IDR/m²) based on area



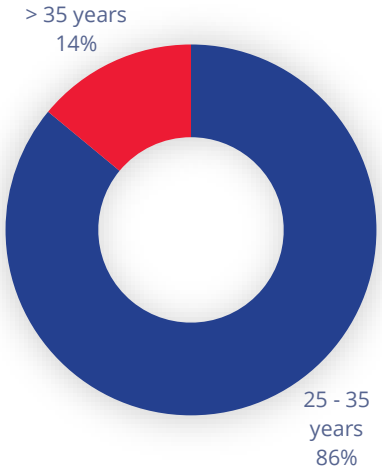
Source: Colliers

Leasehold dominance shaped by regulatory framework and investment-led demand

Apartments in Bali are predominantly offered under leasehold ownership structures, with around 86% of projects providing an initial lease period of 25–35 years and extensions of a similar length. This reflects prevailing market practice, as apartments in Bali are generally more positioned toward investment rather than end-users.

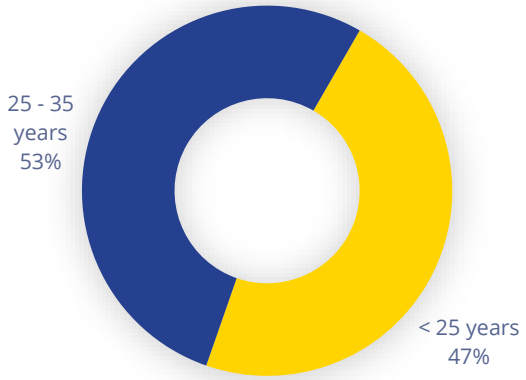
Leasehold structures are therefore widely adopted, as they provide a practical ownership solution within Indonesia's legal framework and allow foreign buyers to secure long-term property interests through lease agreements. As a result, leasehold remains the most common and market-accepted ownership structure for apartments in Bali.

Lease period



Source: Colliers

Lease extension



Source: Colliers

Due to limited land availability and regulatory constraints across the island, apartment development in Bali is largely characterized by redevelopment activities rather than greenfield projects, particularly evident in mature areas such as Ubud and Canggu. This development approach enables developers to utilize existing sites more efficiently, while also benefiting from lower construction costs, reduced permitting complexity, and shorter development timelines. By redeveloping older or underutilized buildings, developers can reposition assets based on current market demand and trends, allowing new apartment projects to be launched within a relatively compressed timeframe.

In many cases, developers enter the market with a predefined development concept or a specific target asset that they intend to acquire or transform. This forward-planning approach supports faster decision-making and execution, as design, positioning, and target segments are often determined early in the

process. As a result, redevelopment has become a preferred strategy among developers seeking to mitigate development risks, improve capital efficiency, and respond more swiftly to evolving market conditions in Bali.

Regulatory framework shaping development approval and ownership structure

Regulatory compliance plays a critical role in apartment development in Bali, particularly in relation to building permits and operational approvals. Prior to construction, developers are required to obtain a Building Approval (***Persetujuan Bangunan Gedung/PBG***), which governs aspects such as building function, technical specifications, and compliance with zoning and spatial regulations. The PBG has replaced the former IMB framework and is a mandatory prerequisite before construction can commence.

Upon completion of construction, developers must secure a Certificate of Proper Function (***Sertifikat Laik Fungsi/SLF***), which confirms that the building meets safety, structural, and functional standards and is legally permitted for occupancy and use.

This requirement to obtain both PBG and SLF has added a layer of procedural rigor to the development process, influencing project timelines and emphasizing the importance of early-stage regulatory planning, particularly in a market characterized by redevelopment activities. In parallel, the regulatory environment in Bali also shapes how apartment projects are structured from an ownership perspective, further influencing development strategies and target markets.

Ownership for Indonesian citizens is governed by the national land law framework, which allows individuals to hold full ownership rights. In Bali, however, apartments are not commonly developed as residential products due to zoning controls, cultural landscape protection, and planning policies that favour tourism-related developments. As a result, local buyers tend to prefer landed housing, while apartment-type products are more commonly targeted at foreign demand.

Despite the stronger presence of foreign buyers in this segment, Indonesian law prohibits foreigners from holding freehold title (Hak Milik). Foreign ownership of apartments in Bali is therefore limited to specific legal structures, including ownership through foreign investment companies (PMA), strata title under Right to Use (Hak Pakai), or long-term leasehold arrangements (Hak Sewa), with leasehold remaining the most adopted structure in market practice.

Outlook 2026: Stable market supported by selective demand and controlled supply

Looking ahead to 2026, the Bali apartment market is expected to remain broadly stable but increasingly selective, underpinned by controlled supply growth and sustained lifestyle-driven demand. Development activity is likely to remain limited and largely concentrated in redevelopment projects, as zoning restrictions, regulatory requirements, and land scarcity continue to constrain large-scale greenfield developments. These constraints are expected to reinforce a gradual spatial shift toward less dense areas such as Uluwatu, where land parcels are relatively more available and development intensity can better align with prevailing regulations.

On the demand side, market absorption is expected to continue to be supported by lifestyle-oriented buyers, long-stay expatriates, and individual investors seeking alternative residential formats. However,

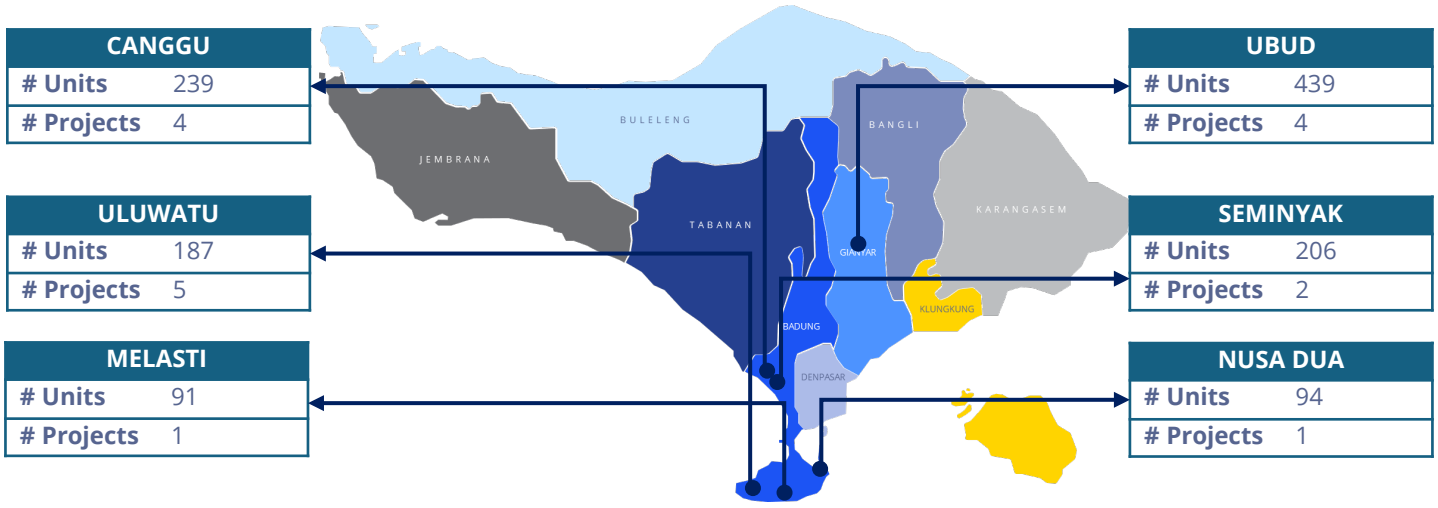
purchasing behaviour is likely to become more cautious and selective, reflecting heightened awareness of regulatory risk, ownership structures, and project legality. As a result, demand is expected to gravitate toward projects with clear legal standing, well-defined operating concepts, and strong locational fundamentals rather than speculative or purely price-driven offerings.

Pricing growth is anticipated to remain moderate in 2026, constrained by limited demand upside and increasing competition from alternative accommodation formats. Nevertheless, performance is expected to diverge across submarkets, with established lifestyle hubs such as Canggu and Uluwatu likely to demonstrate relatively stronger price resilience due to their mature ecosystems, sustained expatriate presence, and continued appeal as lifestyle destinations.

Overall, market performance in 2026 will increasingly depend on developers' ability to navigate regulatory frameworks, secure compliant zoning and licensing, and deliver projects that are aligned with both market demand and locational context. In an environment characterised by limited new supply and selective demand, well-positioned and compliant developments are expected to outperform, while projects with weaker fundamentals may face prolonged absorption periods.

Appendix

Future Supply (2026 – 2027) based on project and unit



Source: Colliers

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